Once the USA attained Independence the ideas of Adam Smith were made part of its public policy – just one year after *Wealth of Nations* was published. From here the idea spread to other parts of Euro-America—by 1800 the economic system 'capitalism' was established which was later known by different names—Private Enterprise System, Free Enterprise System, Market Economy.

The decisions of what to produce, how much to produce and at what price to sell are taken by the market, by the private enterprises in this system, with the state having no economic role.

2. State Economy

Rooted in the ideas of historical change proposed by the German philosopher Karl Marx (1818–1883) more specifically, this kind of economic system first came up in the erstwhile USSR after the Bolshevik Revolution (1917) and got its ideal shape in the People's Republic of China (1949). This form of economic system also spread to other countries in Eastern Europe. Here we see two versions of the state economy—in erstwhile USSR known as the *socialist economy* and in pre-1985 China as the *communist economy*. While socialistic economy emphasised the collective ownership of the means of production (property and assets) and it also ascribed a large role to the state in running the economy, communist economy advocated state ownership of all properties including even labour and absolute power to state in running the economy. Though for Marx, Socialism was a transitional stage to Communism, it never did happen in reality.

Basically, this form of economy came in reaction to the prevalent popular economic system of capitalism and proposed just the opposite. The decisions related to production, supply and prices were all suggested to be taken by the state only. Such economies were also known as Centralised Economy, Centrally Planned Economy, Non-market Economy.

The socialist and communist economies used to criticise capitalistic economics of being based on exploitation. In response, the capitalist economies called them the practioners of 'state capitalism' where the states were the sole exploitators! The communist and anti-communist